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OUR-AND-A-HALF YEARS AGO, when Japanese banking giant Sumitomo Mitsui Banking Corporation (SMBC) first tied up with US-based Jefferies Financial Group, it appeared to be yet another cross-border deal that combined the Japanese bank's balance sheet strength with investment banking giant's ability to close deals in the US and Europe.

SMBC, part of the Sumitomo Mitsui Financial Group—among the world's leading financial institutions—operates with a global balance sheet of \$2.1 trillion. Soon, the partnership was upgraded with SMBC raising its stake from 4.5% to nearly 20%.

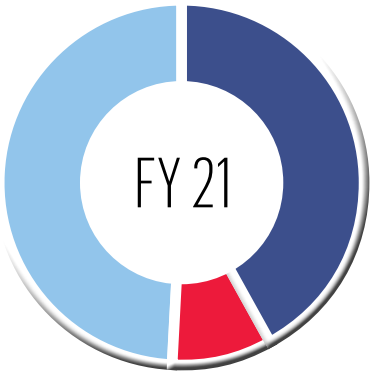
A similar playbook seems to be unfolding in India, where SMBC has raised its stake in YES Bank to 24.2% in two tranches, with the first transaction for a 20% stake pegged at over ₹13,000 crore, emerging as its largest shareholder. For mid-sized private lender YES Bank, which survived one of India's biggest bail-outs, this marks the beginning of its third act: from its near crash to the rescue, and now revival led by Japan's banking powerhouse. If, and when, SMBC seeks majority control, the regulator—the Reserve Bank of India (RBI)—appears more amenable to the idea than it had been towards similar transactions in the past.

This was clear in the recent deal between Emirates NBD and RBL Bank, where the Dubai-based banking giant is acquiring a majority stake in the latter, in what is the largest foreign banking transaction in India to date, pegged at about ₹27,000 crore. Emirates NBD will launch an open offer for ₹11,636 crore for the remaining 26% stake on December 12. (See Box: Open Door)

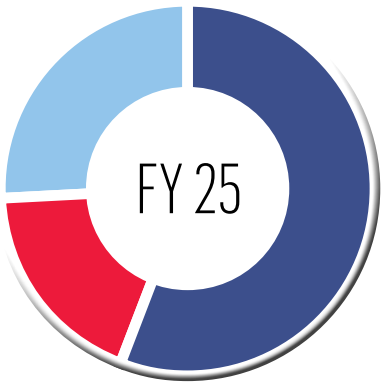
As SMBC tightens its global network—from Wall Street to Mumbai—the question is no longer why it's

SHIFT IN FOCUS

• YES Bank has shifted the focus of advances from large corporate loans to retail



● RETAIL & SME 42% ● MID-CORPORATE 9%
● LARGE CORPORATE 49%



● RETAIL & SME 59% ● MID-CORPORATE 17%
● LARGE CORPORATE 24%

SOURCE ANNUAL REPORTS

42 |

LONG ROAD

PARAMETERS	Net interest margin				
	3.5%	3.2%	2.2%	2.8%	
	1.3%	3.2%	16.8%	15.4%	
	17.7%	6.5%	-81.8%	-11.4%	
	1.6%	0.5%	-5.1%	-1.3%	
	Return on equity				
	36.5%	33.1%	26.6%	26.1%	
	Current account, savings account				
	40.2%	43.5%	65.7%	53.8%	
	FY18	FY19	FY20	FY21	